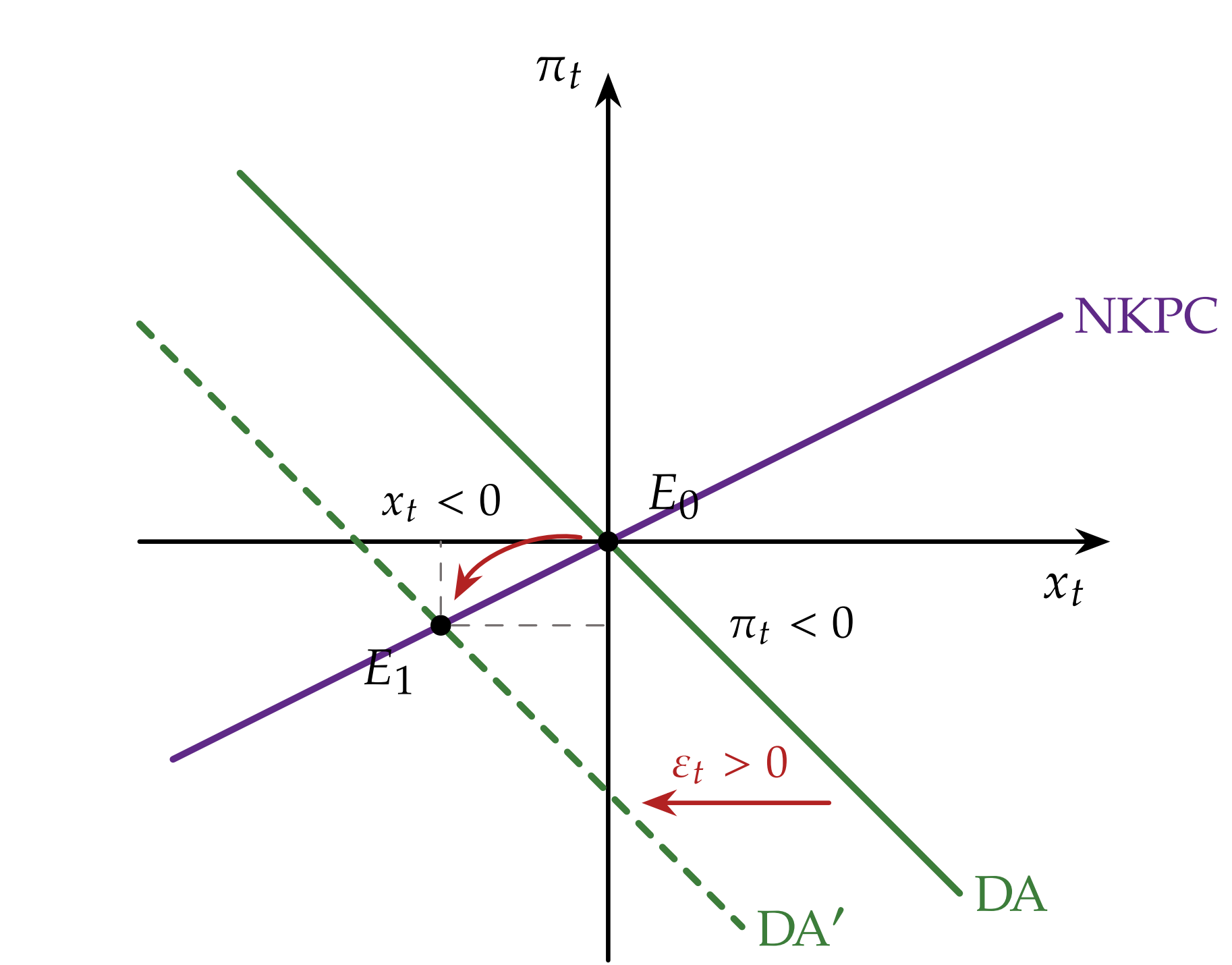


$$i_t \uparrow \Rightarrow\ i_t - \mathbb{E}_t[\pi_{t+1}] \uparrow \Rightarrow\ x_t \downarrow \text{(IS)} \ \Rightarrow\ \pi_t \downarrow \text{(NKPC)}$$